

newsprint, was placed in receivership. That summer, the company was sold at auction to satisfy creditors. Eugene Meyer, a millionaire financier, bought the *Washington Post* for \$825,000. For the next two decades, he supported the paper until it turned a profit. Management of the paper passed to Philip Graham, a brilliant Harvard-educated lawyer, who had married Meyer's daughter Katharine. In 1954, Philip Graham convinced Eugene Meyer to purchase a rival newspaper, the *Times-Herald*. Later, Graham purchased *Newsweek* magazine and two television stations before his tragic suicide in 1963. It is Phil Graham who is credited with transforming the *Washington Post* from a single newspaper into a media and communications company.

After Graham's death, control of the *Washington Post* passed to Katharine Graham. Although she had no experience in managing a major corporation, she quickly distinguished herself by confronting difficult business issues. Much of Katharine Graham's success can be attributed to her genuine affection for the *Post*. She had observed how her father and husband had struggled to keep the company viable, and she realized that to be successful, the company would need a decision maker, not a caretaker. "I quickly learned that things don't stand still," she said. "You have to make decisions."¹ And she made two doozies, decisions that had a pronounced impact on the newspaper: hiring Ben Bradlee as managing editor and then inviting Warren Buffett to become a director of the company. Bradlee encouraged Katharine Graham to publish the Pentagon Papers and to pursue the Watergate investigation, which earned the *Washington Post* a reputation for prize-winning journalism. For his part, Buffett taught Katharine Graham how to run a successful business.

Buffett had first met Katharine Graham in 1971. At the time, he owned stock in the *New Yorker*. Hearing that the magazine might be for sale, he asked Katharine Graham whether the *Washington Post* would be interested in purchasing it. Although the sale never materialized, Buffett came away very much impressed with the publisher of the *Post*.

About that time, the *Washington Post*'s financial structure was headed for profound changes. Under the terms of a trust established by Eugene and Agnes Meyer, Katharine and Philip Graham owned all of the *Post*'s voting stock. After Phil Graham's death, Katharine Graham inherited control of the company. Over the years, Eugene Meyer had gifted thousands of shares of